

Hongfa Technology (600885.SS): 2Q26 in line; Buy on strong order visibility backed by market share gains and pricing power to support

Post market close on July 29, Hongfa announced 2Q26 results that were in line with our expectations. 2Q26 revenue/gross profit/operating profit/net profit reached Rmb5,914mn/1,963mn/1,007mn/672mn, +36%/+30%/+26%/+21% yoy, and +4%/+3%/+6%/+1% vs. GSe. 2Q26 GPM/OPM/NPM were 33%/17%/11%, -1pp/-1pp/-1pp yoy, all in line with GSe. We slightly adjust our 2026-30E EPS by <1% with 12-m TP now at Rmb45.5.

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We remain Buy rated on Hongfa, expecting the company to deliver **27% yoy revenue growth in 2026E**, driven partially by its **strong pricing power** to pass through raw material price increases (with 10pp+ revenue growth contribution from price hikes), as well as **strong volume growth across its end markets**. This represents a significant acceleration versus its historical revenue CAGR of 15% over the past ten years. Volume growth should outperform underlying industry growth (such as in home appliances and autos), reflecting a **structural acceleration in market share gains**. Smaller players have been increasingly pressured by raw material price hikes and weaker operating cash flow, while global competitors such as Omron have announced the spin-off of its Device & Module Solutions Business (including relays, switches and sensors), recognizing intensifying global competition ([link](#)). With **strong demand visibility into 2027E**, we believe Hongfa should be well positioned to capture incremental demand, supported by its historical ability to increase production shifts and **raise utilization rates towards 100%+** when demand is strong.

We also expect GPM to recover from **33.2% in 2Q26 to 34.5% in 3Q26E and 35.1% in 4Q26E**, as raw material prices stabilize and Hongfa completes its price hikes. We see limited risk of price reductions even if raw material prices pull back, given the current supply shortage environment. More importantly, strong revenue growth and higher utilization rates should provide meaningful operating leverage and support further GPM recovery.

HVDC relay: We expect 2026E revenue to grow 30% yoy, driven by continued market share gains through expanded global customer coverage across Europe and Southeast Asia, as well as higher content value from increasing penetration of 800V EV platforms.

General relay: We expect 2026E revenue to grow 36% yoy, driven by both price increases and market share gains against smaller players whose operations have been disrupted by raw material price increases, while also supported by strong ESS

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demand.

Auto relay: We expect 2026E revenue to grow 16% yoy, as pricing increases were successfully implemented in 2Q26.

Power relay: We expect 2026E revenue to grow 24% yoy, driven by improving demand in Europe and higher State Grid-related smart meter installation volume.

Industrial control relay: We expect 2026E revenue to grow 29% yoy, driven by sustained demand from new energy, semiconductors, domestic substitution and overseas recovery, supported by improving OEM demand from customers such as Schneider.

Signal relay: We expect 2026E revenue to grow 20% yoy, supported by strong order visibility.

AIDC applications: The company completed sample deliveries by 2Q26 and expects to establish a clearer commercialization plan by 4Q26-2027E. In addition to HVDC relays and general relays, Hongfa is also exploring potential opportunities in connectors, film capacitors, vacuum capacitors and cabinets for data centers in the US and Southeast Asia.

Exhibit 1: Hongfa 2Q26 financial summary

Hongfa Technology (600885.SS)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	yoy %	qoq %	Prior 2Q26E GSe	Diff %
Revenue (Rmb mn)	3,983	4,364	4,567	4,288	5,108	5,914	36%	16%	5,674	4%
<i>Segment breakdown</i>										
Gross profit (Rmb mn)	1,345	1,513	1,615	1,432	1,639	1,963	30%	20%	1,906	3%
EBIT (Rmb mn)	605	798	764	388	751	1,007	26%	34%	947	6%
Net profit (Rmb mn)	411	553	506	288	484	672	21%	39%	663	1%
EPS (Rmb)	0.39	0.38	0.35	0.19	0.31	0.43	15%	39%	0.43	1%
Gross profit margin (%)	34%	35%	35%	33%	32%	33%	-1pp	1pp	34%	0pp
EBIT margin (%)	15%	18%	17%	9%	15%	17%	-1pp	2pp	17%	0pp
Net profit margin (%)	10%	13%	11%	7%	9%	11%	-1pp	2pp	12%	0pp

Source: Company data, Goldman Sachs Global Investment Research

The author would like to thank Zhou Li, Hao Chen, Zhihan Ye, and Junfang Zhang for their contributions to this report.

Investment thesis, Valuation methodology and Risks

Hongfa is a top relay producer with 27% global market share as of 2025 (No.1). We expect continued market share gains driven by technology strength in the autos (both ICE and EV)/home appliance/power/signal sectors, and by rising adoption of high-voltage DC architectures in AIDC and ESS applications. We believe the vehicle electrification mega-trend is poised to power China's industrial component champions as content per vehicle rises significantly in EV vs. ICE, while Hongfa's leading position in HVDC relays positions it to benefit from the 800V DC transition in both automotive and power infrastructure. In addition to strong smart meter demand as the global power grid enters a replacement cycle to incorporate more renewable energy generation and adapt for rising electricity demand, we now also see AIDC and ESS build-out adding incremental relay demand from data centers and backup/storage systems. We view the stock's valuation as attractive vs. our China Industrial Tech coverage, with potential catalysts coming from: (1) strong customer penetration among global EV OEM customers, (2) fast smart meter order gains against replacement demand, and (3) an acceleration in AIDC-related HVDC and general relay orders, as well as ESS-HVDC deployments, as global data center and power operators upgrade toward higher-efficiency DC and storage-rich architectures. We are Buy rated.

Price Target Risks and Methodology - Hongfa Technology

Target price: Our 12m target price of Rmb45.5 is based on 2028E P/E of 24x discounted back to 2027E.

Downside risks: (1) Weaker-than-expected smart meter revenue recognition; (2) Weaker-than-expected revenue from front-loaded solar inverter revenue; (3) Further increase in copper and silver prices that negatively impacts GPM.

600885.SS	12m Price Target: Rmb45.50	Price: Rmb33.98	Upside: 33.9%
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Buy	GS Forecast
Market cap: Rmb52.6bn / \$7.8bn Enterprise value: Rmb55.8bn / \$8.3bn 3m ADTV: Rmb762.2mn / \$112.3mn China China Industrial Tech & Machinery M&A Rank: 3 Leases incl. in net debt & EV?: No	

	12/25	12/26E	12/27E	12/28E
Revenue (Rmb mn) New	17,202.5	21,827.2	25,432.1	28,196.5
Revenue (Rmb mn) Old	17,202.5	21,647.8	25,191.0	27,925.3
EBITDA (Rmb mn)	3,653.8	4,430.6	5,160.9	6,162.9
EPS (Rmb) New	1.14	1.42	1.74	2.09
EPS (Rmb) Old	1.14	1.41	1.72	2.07
P/E (X)	22.5	24.0	19.5	16.2
P/B (X)	3.1	3.7	3.3	2.9
Dividend yield (%)	1.4	1.5	1.8	2.2
CROCI (%)	18.6	16.4	17.2	18.0
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Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 29 Jul 2026 close.

Disclosure Appendix

Reg AC

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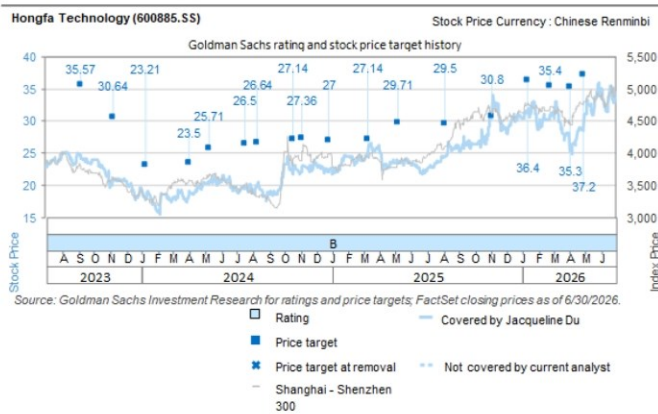
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Target price history table(s)

Hongfa Technology (600885.SS)

Date of report	Target price (Rmb)	Closing price (Rmb)
22-Jul-26	45.00	33.33
30-Apr-26	37.20	31.14
03-Apr-26	35.30	25.57
24-Feb-26	35.40	30.93
12-Jan-26	36.40	31.36
03-Nov-25	30.80	30.77
06-Aug-25	29.50	24.57
07-May-25	41.60	23.72
11-Mar-25	38.00	24.99
26-Dec-24	37.80	22.20
04-Nov-24	38.30	22.77
18-Oct-24	38.00	23.09
12-Aug-24	37.30	20.54
18-Jul-24	37.10	19.86
09-May-24	36.00	20.35
01-Apr-24	32.90	18.68
08-Jan-24	32.50	17.77
07-Nov-23	42.90	20.88
06-Sep-23	49.80	24.61

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